Economic Development, a Political Materialism perspective

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1 Background

1.1 The measurement problem in comparative political economy

Recent economic models attempt to capture latent political variables such as democracy metrics. Some of the most widely used metrics in academia today are V-Dem and Polity-V; however, Treier and Jackman (2008) showed significant error in Polity-V's democracy measures that lead to significant inference errors. In another study, Little and Meng (2024) challenged recent claims of democratic backsliding in recent years and found that such claims are not supported by objective data such as election results, competitiveness of elections, and journalists jailed and murdered; their findings suggest that it is the experts' biases that are changing instead of the objective measures.

These measurement problems matter beyond the democracy literature. If the standard indicators of a country's political character are partly artifacts of expert judgment, then any theory of economic development built on those indicators inherits their errors. This is the entry point of the present work.

1.2 The institutional theory of development and its limits

One of the most influential works in recent years has been that of Acemoglu, Johnson, and Robinson (hereafter AJR), who developed a theory of Inclusive and Extractive Institutions that attempts to explain why two territories with similar material conditions can develop very differently, as in the case of Nogales, Arizona, and Nogales, Sonora (Acemoglu, Johnson, et al. 2001; Acemoglu, Johnson, et al. 2005; Acemoglu and Robinson 2012). The main drawback of this theory is its inability to develop a theory of the state; instead, it relies on economic indicators and experts' opinions to classify a nation as Inclusive (II) or Extractive (EI). There are, however, at least two flaws in this model. *I) Circular measurement.* Inclusive Institutions are defined by the outcomes they are meant to explain, such as a low expropriation rate and secure property rights. Claiming that a country with Inclusive Institutions displays a low expropriation rate ($A \rightarrow X$) licenses the reverse inference that a country displaying a low expropriation rate must have Inclusive Institutions ($X \rightarrow A$); the classification then cannot independently explain the outcome, because the outcome was used to construct the classification. *II) Vague horizon.* AJR attempt to answer this objection by arguing that some Extractive Institutions can sustain inclusive economic policies, but that such economies are destined to fail in the long term. Because no time bound is specified, this is an unfalsifiable claim: any continuing success can be reclassified as "not yet long term."

A related strand of research links democratization to growth directly. Acemoglu, Naidu, et al. (2019) find that transitions to democracy cause subsequent economic growth. Yet this study, too, relies on democracy indicators rather than on a direct analysis of state structures, and the findings of Little and Meng (2024) cast doubt on whether the underlying correlations reflect objective changes in these economies or changes in the biases of the experts who rate them. What is needed, therefore, is a theoretical framework that describes domestic politics and international position without depending on contested expert-coded indices.

1.3 Research question and hypotheses

This work asks: *which changes in a country's political and international situation actually produce major economic disruption?* To answer it, we must first separate events that the literature habitually lumps together under "regime change": the replacement of officeholders, the replacement of the coalition sustaining them, changes in the formal rules of access to power, transformations of the effective structure of political power, restructuring of the state apparatus, policy change, and shifts in a state's external alignment. Section 2 defines each of these terms in detail.

The following hypotheses build on these concepts and turn the research question into empirically testable claims.

- H_1 on government turnover: For any two countries A and B with comparable material endowments and similar external alignment, government turnover—and even nominal regime change—that leaves the effective structure of political power untouched will not produce major economic disruption.
- H_2 on external realignment: For any two such countries, variation in economic disruption tracks variation in external alignment—above all, entry into or exit from a great power's sphere of influence—rather than variation in domestic political events.
- H_3 on the interaction of domestic and international change: A country that undergoes domestic political change will experience major economic disruption only when that change coincides with an external realignment; and external realignment produces major economic disruption whether or not domestic political change accompanies it.

Note that H_3 does not follow logically from H_1 and H_2; it is a stronger claim and must be tested separately. Section 4 derives the observable implications of the three hypotheses in a two-by-two design.

2 Theoretical Framework

This framework is organized around five questions: **who governs**, **how political power is organized**, **through which permanent institutions power is exercised**, **where the state sits internationally**, and **what outcomes follow**.

2.1 Units of analysis

- A *country* is the territorial, geographical, demographic, or economic unit; the term is used when comparing geographical conditions or economic performance, not when analyzing the state as a political organization (Linz and Stepan 1996; Waltz 1979).
- The *state* is used in two related senses: domestically, the durable political organization possessing administrative and coercive authority over a territory (Weber 1922; Hobbes 1651); internationally, the corporate actor whose alignment and position change relative to other states (Waltz 1979; Mearsheimer 2001). The state is neither the sum of all publicly funded bodies nor the incumbent government.
- The *international system* is the wider structure within which states operate, characterized by anarchy and by the distribution of capabilities, especially among great powers; the structure constrains behavior but is not itself an actor (Waltz 1979; Mearsheimer 2001). Where cases sit inside a particular regional distribution of power, the relevant unit is the *regional subsystem* (Buzan and Wæver 2003).

2.2 Domestic political elements and actors

- The *government* (or incumbent administration) denotes the persons and organizations currently holding governing office: presidents, prime ministers, ministers, and, where relevant, the ruling coalition. It answers "who governs?". Policies and international behavior are things the government *does*; they are not part of what the government *is* (Linz and Stepan 1996).

- The *ruling coalition* is the wider set of parties, elites, and organized groups that sustain the government in power; replacing a president or governing party does not necessarily replace it (Bueno de Mesquita et al. 2003).

- The *political regime* comprises the rules and institutional arrangements governing access to political power, the distribution of authority among institutions, competition for office, and control or accountability over rulers; it answers "how is political power formally organized?" (Linz and Stepan 1996; Linz 2000).

- The *structure of political power*, by contrast, captures the *effective* organization and control of power: the actual separation or concentration of powers, the independence of representation, the party–state relationship, and the capacity of citizens or rival elites to control rulers (García-Trevijano 2010). A country may change its formal regime while its structure of political power remains intact; García-Trevijano's analysis of the party-state (*Estado de partidos*) describes exactly this case: state-integrated parties collectively control political power behind formally democratic institutions (García-Trevijano 2010).

- *Political parties* are organizations that may participate in government, opposition, or the ruling coalition, and are not automatically part of the government (Sartori 1976).

- The *state apparatus* is the durable administrative, coercive, judicial, and fiscal machinery through which political authority is exercised (Weber 1922; Althusser 1971). It has three main components:

  - the *coercive apparatus* (armed forces, police, security services; Tilly (1990) and Althusser (1971)),
  - the *administrative apparatus* (ministries and public bureaucracy; Weber (1922)), and
  - the *judicial apparatus* (courts and related institutions; Weber (1922) and García-Trevijano (2010)).

- The *public sector* is a residual category for publicly owned or funded bodies such as hospitals, schools, and state companies. Being part of the public sector does not automatically make an organization part of the core state apparatus, nor a strategic political actor.

2.3 International actors and structural elements

- A *great power* is a state with military capabilities large enough to play a major role in the distribution of power (Mearsheimer 2001).

- In asymmetric relationships, the *dominant power* is the stronger state and the *subordinate state* the one whose security, alignment, or foreign-policy choices are substantially constrained by it; international relations frequently exhibit such hierarchy rather than formal equivalence among states (Lake 2009).

- A *hegemon* is a state powerful enough to dominate the others in the relevant system or region (Mearsheimer 2001). An *aligned state* only coordinates its external orientation with another power; alignment alone does not imply subordination (Walt 1987).

- A *sphere of influence* is a determinate region or relationship in which an external power exercises predominant influence, limiting the independence of the political entities within it, without necessarily implying complete control (Keal 1983; Hast 2014).

- A state's *external alignment* is its position vis-à-vis great powers, alliances, and spheres of influence (Walt 1987); its *position within the international structure* is its location relative to other powers, so that a change of alignment is a positional change and does not by itself constitute a change in the structure (Waltz 1979).

2.4 What actually changes: an event taxonomy

The literature often uses "regime change" for several different events at once. This framework separates them into the following categories.

- *Government turnover* replaces the persons or parties holding office (Bueno de Mesquita et al. 2003).
- *Ruling-coalition change* replaces the wider set of actors whose support sustains rule (Bueno de Mesquita et al. 2003).
- *Regime change* alters the formal rules governing access to and organization of political power (Linz and Stepan 1996).
- A *transformation of the power structure* alters the effective concentration, separation, representation, or control of political power, making it possible to distinguish nominal regime change from deeper structural continuity (García-Trevijano 2010).
- *State-apparatus restructuring* transforms the durable administrative, coercive, judicial, or fiscal machinery of the state (Skocpol 1979; Althusser 1971).
- *Policy change* alters what the government does—its settings, instruments, or overarching goals—and is neither turnover nor regime change (Hall 1993).
- An *external realignment* changes a state's alliance, dominant-power relationship, or sphere of influence (Walt 1987). A *systemic power shift*, in contrast, changes the overall distribution of capabilities among states (Gilpin 1981; Waltz 1979).

Two distinctions matter most here: government turnover, and even nominal regime change, may occur without a transformation of the underlying structure of political power; and a state's external realignment may occur without a systemic power shift, although the two may coincide.

2.5 Outcomes and conditioning conditions

The dependent phenomenon is *economic disruption*—which may be differentiated into output collapse, inflation, or capital flight—rather than a static "economic situation" (Rodrik 1999). Finally, *material endowments* (geography, natural resources, environment, population) are relatively durable conditions that constrain economic and strategic possibilities (Diamond 1997), while *material capabilities* are the resources a state can actually mobilize—endowments are conditions, capabilities are politically usable capacities (Mearsheimer 2001).

In synthesis, states are governed by incumbent governments, supported by ruling coalitions, operating within a political regime and an effective structure of political power, and acting through a durable state apparatus; internationally, states possess an external alignment and a position within the international structure, especially in relation to great powers and their spheres of influence; and their economic and military outcomes are conditioned by their material endowments and capabilities.

3 Literature Review

The research question draws on four bodies of literature.

Institutions and development. AJR's institutional theory (Acemoglu, Johnson, et al. 2001; Acemoglu, Johnson, et al. 2005; Acemoglu and Robinson 2012) and the democratization–growth literature (Acemoglu, Naidu, et al. 2019) explain development through the character of domestic institutions, but measure that character through expert-coded indices whose reliability is contested (Treier and Jackman 2008; Little and Meng 2024), and—as argued in Section 1—through classifications that risk circularity and unfalsifiability. Neither strand distinguishes the replacement of rulers from the transformation of the power structure; both therefore over-attribute economic outcomes to visible domestic political change.

Regimes, power structures, and the state. The comparative-politics literature supplies the missing domestic distinctions. Linz and Stepan (1996) and Linz (2000) separate state, regime, and government; García-Trevijano (2010) adds the effective structure of political power and the party-state paradigm; Sartori (1976) and Bueno de Mesquita et al. (2003) clarify parties and support coalitions; and Weber (1922), Althusser (1971), Tilly (1990), and Skocpol (1979) theorize the durable state apparatus that persists through changes of rulers. Hall (1993) shows that even policy change comes in distinct orders, so that not every observable policy shift signals deep political change.

International structure and hierarchy. Structural realism treats states as like units positioned within an anarchic system whose distribution of capabilities constrains them (Waltz 1979), with great powers competing for power and regional hegemony (Mearsheimer 2001). Alignment and alliance choices (Walt 1987), hierarchy between dominant and subordinate states (Lake 2009), spheres of influence (Keal 1983; Hast 2014), regional security complexes (Buzan and Wæver 2003), and systemic power shifts (Gilpin 1981) supply the international half of the framework.

Material conditions and shocks. Geographical and environmental endowments condition development possibilities (Diamond 1997), and population and wealth convert into latent and military power (Mearsheimer 2001). Rodrik (1999) shows that growth collapses following external shocks are mediated by domestic conflict-management institutions—evidence consistent with the present claim that external position, not domestic political labels, drives disruption.

The gap this thesis occupies is the intersection of these streams: no existing framework explains economic disruption by jointly separating (i) domestic events that change rulers from those that change power structures, and (ii) a state's positional realignment from systemic power shifts. The hypotheses of Section 1 state exactly this joint claim.

4 Hypotheses and Empirical Implications

The three hypotheses translate into the comparative design of Table 1. Cases are selected as pairs of countries with comparable material endowments; the design then varies whether the country experiences (rows) a domestic political change short of power-structure transformation (turnover or nominal regime change) and (columns) an external realignment such as entering or leaving a sphere of influence.

Table 1: Predicted economic disruption by type of political and international change

	No external realignment	External realignment
Government turnover / nominal regime change only	No major disruption (H_1)	Major disruption (H_2, H_3)
Power-structure transformation or apparatus restructuring	Ambiguous; out of scope of H_1	Major disruption (H_2)
No domestic political change	No major disruption	Major disruption (H_2, H_3)

Note: Predictions assume comparable material endowments across compared cases. "External realignment" means a change in alliance, dominant-power relationship, or sphere of influence (Walt 1987; Keal 1983); domestic event categories follow Section 2.

Three features make these hypotheses falsifiable. First, the event categories are defined independently of the outcome, so cases can be classified without circularity. Second, H_1 fails if matched cases show major disruption following turnover that left the power structure and external alignment untouched. Third, H_3 fails in either direction: if realignment without domestic change produces no disruption, or if domestic change without realignment produces major disruption. It would be tempting to state H_3 as a biconditional—disruption occurs if and only if domestic change coincides with external realignment—but that stronger claim does not follow from H_1 and H_2. H_3 is therefore advanced as a separate empirical prediction, to be tested on matched pairs of countries.

5 Limitations and Conclusion

Three limitations of this research design should be acknowledged. First, "major economic disruption" still requires operationalization (output collapse, inflation, capital flight) along the lines suggested by Rodrik (1999). Second, the boundary between nominal regime change and genuine power-structure transformation is analytically clear (García-Trevijano 2010; Linz and Stepan 1996) but empirically demanding to code; historical cases of state-apparatus restructuring (Skocpol 1979) will guide the coding rules. Third, the framework is deliberately agnostic about normative evaluations of regimes: it classifies how power is organized, not whether that organization is desirable.

The central claim of the thesis can be stated simply. Much of what is usually attributed to "regime change" is, on this account, the effect of external realignment: a state changing its position within the international structure. Domestic political change that leaves the structure of political power untouched should leave the economy largely untouched as well. The empirical chapters will test this claim on matched pairs of countries.

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